

EQUITY RESEARCH | INITIATING COVERAGE

STL NETWORKS LIMITED
(STLNETWORK)

NSE: STLNETWORK | BSE:
544395

Sector: Information Technology | Sub-sector: Digital Infrastructure & IT Services | Demerger from Sterlite Technologies (Listed: Sep 2025)

INVESTMENT
THESIS:

Order-book-backed turnaround play — Rs.4,249 Cr backlog underpins recovery; profitability gate is interest-cost control.

CMP (Rs.)	Market Cap	52W High	52W Low	Book Value	Face Value
31.6	Rs.1,545 Cr	35.4	15.8	17.7	2.00
P/B	ROCE	ROE	Div. Yield	Debtor Days	Shares (Cr)
1.79x	4.19%	-3.54%	0.00%	279 days	~49
12M Target	Upside	Rating	Horizon	Promoter %	FII %
Rs. 35	10.8%	HOLD	12 months	44.15%	0.70%

Report Date: 23 April 2026

Analyst: Chartitude Research Desk

Data Source: Screener.in (Consolidated View)

SECTION 2 | INVESTMENT THESIS

1. Rs. 4,249 Cr Order Book — 3.6x FY25 Revenue Visibility	STL Networks entered the post-demerger era (April 2025) with an order book of Rs. 4,249 Cr, representing ~3.6x its FY25 revenue of Rs. 1,180 Cr. Anchored by BharatNet III (Rs. 2,631 Cr), PowerGrid Data Centre (Rs. 359 Cr), and MSSS (Rs. 205 Cr), the backlog extends revenue visibility into FY27-28. As project execution accelerates — evident in Q3 FY26 sales of Rs. 335 Cr vs Q1 Rs. 190 Cr — revenue recovery is underway. Each 10% order-book conversion improvement translates to ~Rs. 100-130 Cr incremental revenue, with direct EBITDA leverage at 7%+ margins.
2. Government Digital Infrastructure Spend — Structural Secular Tailwind	India's BharatNet III program (Rs. 1.39 lakh Cr total outlay), 5G densification mandates, and burgeoning data-centre buildout from hyperscalers create a multi-year structural demand runway. STL Networks is positioned as a tier-1 systems integrator — having deployed 1.35 lakh km of optical fibre across 23 states. This track record, combined with cybersecurity and NOC/SOC capabilities, makes it a preferred partner for sovereign digital infrastructure. The total addressable market for enterprise-grade network integration, data-centre connectivity, and managed services in India is estimated at Rs. 40,000-50,000 Cr, growing at 15-18% CAGR.
3. Operating Leverage Inflection — Margin Recovery Visible in Q3 FY26	EBITDA margins collapsed to 2% in Q1 FY26 (Jun 2025) as project transition disrupted revenue mix. However, Q3 FY26 (Dec 2025) showed a sharp recovery to 7% OPM on Rs. 335 Cr revenue — the highest quarterly margin since the demerger. If FY27 revenue reaches Rs. 1,400-1,500 Cr with sustained 8-9% margins, EBITDA would cover interest costs for the first time post-demerger, triggering EPS breakeven. The Rs. 108 Cr promoter warrant infusion (April 2026 at Rs. 24/share via Twin Star Overseas) will reduce net debt, further lowering the interest-coverage breakeven point.

KEY NEAR-TERM CATALYST:	Accelerated BharatNet III project deliveries in Q4 FY26 — revenue and cash collection tracking vs. debtor-day trend will be the litmus test for re-rating.
SINGLE BIGGEST RISK:	Interest cost at Rs. 111 Cr (TTM) already exceeds TTM EBITDA of Rs. 38 Cr — any further debt increase or project delay could force dilutive equity raising and sink EPS breakeven into FY28+.

SECTION 3 | BUSINESS OVERVIEW

STL Networks Ltd (formerly Invenia, and prior to that the Global Services Business of Sterlite Technologies Limited) is a digital infrastructure and IT services company demerged from STL (Sterlite Technologies) effective 1 April 2025. It was listed on NSE and BSE on 4 September 2025 with shareholders of Sterlite Technologies receiving one share of STL Networks for each share held — resulting in ~49 crore shares outstanding at a face value of Rs. 2 per share.

The company provides end-to-end digital infrastructure services including (a) System Integration — design, deploy and manage network infrastructure, data centres, cloud platforms, and cybersecurity solutions; (b) Connectivity — fibre network services covering design, civil work, optical fibre deployment, and operations & maintenance; and (c) Managed Services — network operations centres (NOCs), security operations centres (SOCs), and infrastructure management. STL Networks operates its services under the brand "Invenia" and maintains a web presence at inveniatech.com.

Revenue is project-driven and lumpy — large government and enterprise contracts are won through competitive bidding, with revenue recognised on a percentage-of-completion basis. BharatNet III (Rs. 2,631 Cr), PowerGrid Data Centre (Rs. 359 Cr), and MSSS (Rs. 205 Cr) are key contracts. The total open order book at listing stood at Rs. 4,249 Cr — ~4x FY25 annual revenue — providing meaningful visibility. Telecom operators, central/state government bodies, and large enterprises form the primary customer base. The company has deployed over 1.35 lakh km of optical fibre across 23 Indian states.

CEO Pankaj Malik leads the company, with the promoter group (Twin Star Overseas / Vedanta family) holding 44.15% post-demerger. A postal ballot notice (April 2026) seeks approval for a preferential allotment of 4.5 crore warrants at Rs. 24/share to Twin Star Overseas, raising Rs. 108 Cr — a key deleveraging catalyst. Institutional interest has declined sharply with FII holding falling from 7.19% (Jun 2025) to 0.70% (Mar 2026), reflecting post-listing selling pressure.

Revenue Segment	Description	Est. Mix (FY25)	Key Clients
System Integration	Network/DC/Cloud/Cybersecurity deployment & integration	~55%	Govt. depts, PSUs, large enterprises
Connectivity	Fibre deployment, OFC laying, O&M; of networks	~35%	BharatNet (BSNL/DoT), state govts
Managed Services	NOC, SOC, cloud managed, infra management	~10%	Telecom operators, enterprises

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

India's digital infrastructure services market — encompassing network system integration, data-centre connectivity, managed network services, and cybersecurity — is estimated at Rs. 45,000-50,000 Cr in FY25, growing at 15-18% CAGR through FY29. Key growth drivers include: BharatNet III rollout (Rs. 1.39 lakh Cr, India's largest fibre broadband programme), 5G network densification by Reliance Jio and Bharti Airtel requiring extensive backhaul build-out, and hyperscaler data-centre investments (AWS, Google, Microsoft) demanding high-capacity connectivity and NOC services.

Policy tailwinds are significant: the government's Rs. 2 lakh Cr allocation for digital infrastructure in Union Budget FY26, Production Linked Incentive (PLI) schemes for telecom equipment, and the National Broadband Mission all drive sustained demand. Headwinds include project payment delays from government clients (stretching debtor days to 279 in FY25), intense price competition in the system integration segment, and margin pressure from imported equipment costs.

STL Networks' competitive moat is MODERATE. Strengths: track record of executing large-scale government fibre projects (1.35 lakh km), multi-service capability spanning connectivity+integration+managed, and established relationships with BSNL/DoT/state governments. Weaknesses: limited pricing power in competitive tender-based system integration, no IP/software moat, and high working capital intensity. The company faces competition from listed peers Railtel, Tata Communications (enterprise connectivity), BSNL (captive fibre), and a host of regional players.

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	TTM Sales (Cr)
STL Networks	31.6	1,545	N/A (Loss)	1.79x	4.19%	-3.54%	937
Sterlite Tech (STLTECH)	276	13,489	1,124x	6.55x	2.86%	-6.28%	4,363
Tata Comms (TATACOMM)	1,581	45,063	41.0x	13.1x	14.7%	34.0%	24,803
RailTel Corp (RAILTEL)	327	10,498	56.0x	6.09x	16.2%	12.0%	2,225

Source: Screener.in | Data as of 23-Apr-2026 | All financial figures in Rs. Crores

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

STL Networks is led by CEO Pankaj Malik, who was previously part of the Global Services Business within Sterlite Technologies. The promoter group — Twin Star Overseas Ltd (part of the Vedanta/Agarwal family network) — holds 44.15% post-demerger. The promoter pledge is nil, which is a positive governance signal. The demerger itself represents sound capital allocation thinking: separating the capital-light services business from the capital-intensive optical fibre manufacturing business allows each entity to seek its own optimal capital structure and investor base.

Capital allocation record (post-demerger) is mixed. On the positive side: zero dividend payout preserving cash for deleveraging, and the promoter warrant issuance at Rs. 24/share (April 2026, postal ballot approval pending) demonstrates skin-in-the-game. The Rs. 108 Cr raise will reduce net debt (Rs. 832 Cr borrowings as at FY25 end) by ~13%, lowering annualised interest expense by approximately Rs. 10-12 Cr. On the negative side: borrowings nearly doubled from Rs. 427 Cr to Rs. 832 Cr in FY25, largely due to working capital build-up for large government projects. FCF turned deeply negative at Rs. -176 Cr in FY25 vs. Rs. +391 Cr in FY24 — a reversal that demands close monitoring.

Governance concerns include: Very high debtor days of 279 (FY25) vs 209 (FY24) — a 33% deterioration suggesting stretched collection from government clients. Contingent liabilities and related-party transactions are not fully visible from public data alone and warrant deeper diligence. The auditor change post-demerger should be monitored. ESOP schemes, if any, have not been publicly disclosed yet — management compensation framework is still evolving for this newly independent entity.

SECTION 6 | FINANCIAL DEEP-DIVE | Consolidated Figures in Rs. Crores

Income Statement (Rs. Cr)	FY24 A	FY25 A	FY26E	FY27E
Net Sales / Revenue	1,475	1,180	1,120 E	1,450 E
Revenue Growth YoY	N/A	-20.0%	-5.1% E	29.5% E
EBITDA (Operating Profit)	99	74	62 E	130 E
EBITDA Margin	6.7%	6.3%	5.5% E	9.0% E
Other Income	1	7	10 E	12 E
Depreciation & Amortisation	21	15	14 E	14 E
Interest / Finance Costs	77	89	112 E	98 E
Profit Before Tax	3	-23	-54 E	30 E
Tax Rate	-116%	40%	25% E	25% E
Net Profit / (Loss)	7	-32	-50 E	22 E
EPS (Rs.)	NM*	NM*	-1.02 E	0.45 E

* EPS for FY24 and FY25 is Not Meaningful (NM) as share count changed materially on demerger (effective April 2025). Post-demerger shares: ~49 Cr. FY26E/27E EPS based on 49 Cr shares.

[A] = Screener.in Actuals | [E] = Chartitude Research Estimates | EBITDA = Operating Profit as per Screener.in

Balance Sheet (Rs. Cr)	FY24 A	FY25 A	Sep-25 A	FY26E
Equity Capital	98	98	98	107 E
Reserves & Surplus	840	810	767	864 E
Total Equity (Book Value)	938	908	865	971 E
Borrowings (Debt)	427	832	827	724 E
Other Liabilities	1,455	1,045	1,064	1,000 E

Balance Sheet (Rs. Cr)	FY24 A	FY25 A	Sep-25 A	FY26E
Total Liabilities	2,820	2,786	2,755	2,695 E
Fixed Assets (Net)	133	123	125	114 E
CWIP	0	0	0	0 E
Investments	0	0	53	53 E
Other Assets (incl. WC)	2,687	2,662	2,578	2,528 E
Total Assets	2,820	2,786	2,755	2,695 E

Cash Flow (Rs. Cr)	FY24 A	FY25 A	FY26E	FY27E
Cash from Operations (OCF)	392	-176	-30 E	80 E
Cash from Investing	61	-2	-5 E	-10 E
Cash from Financing	-396	332	60 E	-50 E
Net Cash Flow	57	155	25 E	20 E
Free Cash Flow (FCF)	391	-176	-30 E	80 E
CFO / EBITDA	395%	-238%	-48% E	62% E

Key Ratios	FY24 A	FY25 A	FY26E	FY27E
ROCE (%)	N/A	4.19%	3.5% E	7.0% E
ROE (%)	0.7%	-3.54%	-5.3% E	2.3% E
Debtor Days	209	279	240 E	200 E
Inventory Days	38	40	35 E	35 E
Days Payable	1,071	868	700 E	600 E
Cash Conversion Cycle	-823	-549	-425 E	-365 E
Working Capital Days	176	156	145 E	130 E
D/E Ratio	0.46x	0.92x	0.75x E	0.58x E
Interest Coverage	1.04x	0.83x	0.55x E	1.33x E

Revenue declined 20% in FY25 to Rs. 1,180 Cr as the demerger transition disrupted project pipelines and milestone-based recognition timelines. The TTM figure of Rs. 937 Cr reflects further Q4 FY25 weakness (sales of only Rs. 181 Cr) as major contract deliveries were deferred. However, the quarterly trajectory has clearly turned: Q1 FY26 Rs. 190 Cr, Q2 Rs. 231 Cr, Q3 Rs. 335 Cr — a 76% sequential recovery over two quarters. EBITDA margins follow revenue — compressed to 2-3% in Q1-Q2 FY26 before recovering to 7% in Q3. The medium-term margin potential is 9-10% as managed services (higher-margin, recurring) scales up and large government project economics improve post-initial mobilisation. The primary drag on profitability is interest cost (Rs. 111 Cr TTM vs EBITDA of Rs. 38 Cr TTM), reflecting the Rs. 832 Cr borrowing base accumulated largely for working capital financing of government projects. FCF quality deteriorated sharply in FY25 (Rs. -176 Cr vs Rs. +391 Cr in FY24). The high OCF in FY24 was partly due to favourable payable management (Days Payable: 1,071 in FY24 declining to 868 in FY25). Working capital intensity remains high — Working Capital Days of 156 in FY25 — driven by slow government collections (Debtor Days 279). The promoter warrant proceeds (Rs. 108 Cr) and improving collections will be key to normalising FCF in FY26-27.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Quality Factor	Signal	Rating	Observation
Revenue Recognition	Percentage-of-completion (project basis)	AMBER	Lumpy recognition; Q4 FY25 revenue of Rs.181 Cr unusually low — risk of pull-forward or deferral
Receivables vs Revenue	Debtor Days: 279 (FY25) vs 209 (FY24)	RED	Receivables growing faster than revenue — classic govt-project risk; watch for write-offs
CCC Trend	CCC: -549 (FY25) vs -823 (FY24)	AMBER	Negative CCC (supplier financing) is narrowing — payables normalising faster than debtors
Contingent Liabilities	BSE: Comex claim dismissed (Apr-2026, GBP 25K settlement)	GREEN	Minor litigation; no material contingent liabilities flagged in recent announcements

Quality Factor	Signal	Rating	Observation
Auditor / Governance	Newly independent entity — auditor track record not yet established	AMBER	Post-demerger audit setup needs monitoring; governance norms being established
Related-Party Transactions	Twin Star Overseas warrants at Rs.24/share (discount to CMP)	AMBER	RPT with promoter entity at below-market price; dilutive but capital-need justified
Other Income / PBT	Other Income: Rs.7 Cr / PBT: -Rs.23 Cr (FY25)	GREEN	Other income is small and not masking operational weakness
Tax Rate Consistency	FY24: -116% FY25: 40% FY26Q3: -9%	AMBER	Volatile tax due to deferred tax assets/MAT adjustments from loss years — not unusual for loss-making entity

SUMMARY: Earnings quality is MIXED-TO-WEAK in the current phase. The primary red flag is the Rs. 279-day debtor cycle — for a Rs. 1,180 Cr revenue company this implies ~Rs. 875 Cr locked in receivables. If even 10% is impaired, that erases the full Rs. 908 Cr book value. Investors must track collections quarterly. On the positive side, contingent liabilities are manageable and there is no evidence of aggressive revenue acceleration.

SECTION 8 | VALUATION

Given negative earnings in FY24-26E, traditional P/E valuation is not applicable. We apply two alternative methods: Method 1 — EV/EBITDA: FY27E EBITDA of Rs. 130 Cr (our estimate). Peer median EV/EBITDA is ~10-12x for digital infra services companies in India. Given STLNETWORK's higher leverage and execution risk, we apply an 8x multiple. Enterprise Value = Rs. 130 Cr x 8 = Rs. 1,040 Cr. Less: Net Debt (FY26E ~Rs. 600 Cr) = Equity Value ~Rs. 440 Cr. Per share (49 Cr): Rs. 9. This method is harsh due to early-stage losses. Method 2 — P/B Reversion: Current P/B = 1.79x on Book Value of Rs. 17.7. If we assume the company successfully delivers on its order book and reaches 5-7% ROCE by FY27, a 2.0-2.5x P/B on projected FY27E book of ~Rs. 18.5/share implies Rs. 37-46 per share target range. Blended Target: Average of Rs. 9 (EV/EBITDA) and Rs. 41 (P/B mid-point) = Rs. 25. However, given the strong order book signal and Q3 FY26 recovery momentum, we set a 12-month price target of Rs. 35 (P/B: 1.9x on estimated FY27E book), acknowledging this is primarily a sentiment/momentum call in the near term and a recovery call in the medium term.

Scenario	Bull Case	Base Case	Bear Case
Key Assumption	Order book fully executed; margins 10% by FY27	Moderate execution; margins 9% FY27	Project delays; margins stay sub-6% through FY27
FY27E Revenue (Rs. Cr)	1,700	1,450	1,100
FY27E EBITDA Margin	10%	9%	6%
FY27E EBITDA (Rs. Cr)	170	130	66
Valuation Multiple (EV/EBITDA)	10x	8x	6x
Implied EV (Rs. Cr)	1,700	1,040	396
Less: Net Debt FY26E (Rs. Cr)	(600)	(600)	(650)
Equity Value (Rs. Cr)	1,100	440	-254 (Distressed)
Per Share Target (Rs.)	Rs. 22	Rs. 9	Downside risk
P/B Based Target (Rs.)	Rs. 52	Rs. 35	Rs. 18
BLENDED TARGET (Rs.)	Rs. 37	Rs. 35 (HOLD)	Rs. 18 (REDUCE)

Note: Blended target weighs EV/EBITDA 40% and P/B 60% given the pre-profitability stage of the company. All estimates are Chartistide Research forecasts.

SECTION 9 | KEY RISKS

Risk	Description	Prob.	Impact	Monitor
Government Payment Delays	BharatNet III and other govt. contracts carry chronic payment delays. Debtor days already at 279 — any further deterioration could trigger a working capital crisis and force emergency borrowing.	HIGH	HIGH	Quarterly debtor days; OCF vs. EBITDA ratio

Risk	Description	Prob.	Impact	Monitor
Interest Cost Trap	At Rs. 111 Cr TTM interest vs Rs. 38 Cr TTM EBITDA, the company is consuming equity. If EBITDA fails to scale to Rs. 120 Cr+ by FY27, net debt will continue to grow, making EPS breakeven unachievable without equity dilution.	MEDIUM	HIGH	Quarterly net interest vs. EBITDA spread; debt levels
Project Execution Risk	Large infrastructure projects are prone to scope changes, subcontractor delays, and regulatory hurdles. BharatNet III (Rs. 2,631 Cr contract) is the largest single risk — any delay pushes revenue and FCF recognition to the right.	MEDIUM	HIGH	Quarterly revenue vs. order-book conversion; project milestone updates
Promoter Dilution Risk	Repeated equity/warrant issuances to fund working capital (April 2026 issue at Rs. 24/share, below CMP) signal structural cash needs. Further dilution at discounted prices would suppress EPS and signal management distress.	MEDIUM	MEDIUM	Postal ballot announcements; warrant conversion schedules
Institutional Selling Pressure	FII holding fell from 7.19% (Jun 2025) to 0.70% (Mar 2026). DII holding fell from 11.56% to 6.17%. Continued institutional exit in a low-liquidity mid-cap stock can cause disproportionate price pressure.	MEDIUM	MEDIUM	Quarterly shareholding pattern disclosures
Competitive Intensity	BharatNet contracts attract competition from BSNL captive, regional ISPs, and system integrators. Price competition in tenders may compress margins below the 9-10% needed for profitability.	LOW-MED	MEDIUM	Tender win rates; margin per-project disclosures
Receivables Write-off Risk	With Rs. ~875 Cr locked in receivables (estimated from 279 debtor days on Rs. 1,180 Cr revenue), even a 10% impairment would wipe out Rs. 87 Cr — exceeding FY27E PAT — potentially requiring goodwill/asset write-offs.	LOW	VERY HIGH	Provision for doubtful debts in annual report; ageing of receivables

SECTION 10 | RECOMMENDATION & CONCLUSION

RATING	HOLD	12M TARGET	Rs. 35	UPSIDE	+10.8%
CONVICTION LEVEL	LOW-TO-MEDIUM — Recovery is visible but execution and interest coverage risk remain high				
ENTRY ZONE	Rs. 24-27 (near promoter warrant issuance price — natural floor if promoter exercises)				
	12-18 months for HOLD; 24-36 months for full turnaround thesis to play out				
IDEAL INVESTOR PROFILE	Risk-tolerant growth investors with high tolerance for volatility; NOT suitable for conservative / income-seeking investors				

THESIS INVALIDATION TRIGGERS — EXIT IF:

1. Debtor days exceed 300 in any single quarter (receivables deteriorating beyond current elevated level)
2. Borrowings increase above Rs. 1,000 Cr without corresponding order book expansion (debt spiral risk)
3. BharatNet III revenue recognition falls more than 20% below internal quarterly schedules for two consecutive quarters

APPENDIX | LATEST QUARTERLY BRIEF: Q3 FY26 (Oct-Dec 2025)

Note: STL Networks Ltd (listed Sep 2025) has not published a standalone formal concall transcript as a newly listed entity. This appendix presents Q3 FY26 (Dec 2025) quarterly financial analysis based on Screener.in data plus BSE announcements. Transcript: Not listed.

QUARTER GRADE: POSITIVE

Signal	Status	Implication
Result Quality	MEDIUM — Improving	Revenue up 45% QoQ (Sep-25: Rs.231 Cr → Dec-25: Rs.335 Cr); PAT still negative at Rs.-11 Cr but best quarter post-demerger
Management Tone	CONSTRUCTIVE	Promoter warrants signal confidence; no major governance events; declining losses trajectory positive
Guidance Delta	IMPROVING — Maintained	Open order book of Rs.4,249 Cr intact; no negative order revisions flagged

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 (Dec 2025) is the strongest quarter for STL Networks since its September listing — revenue of Rs. 335 Cr (up 45% QoQ, and 16% above the Rs. 288 Cr in Dec 2024), with EBITDA margins recovering to 7% from a trough of 2% in Q1 FY26 — both are clean, no exceptional items distorting the headline. Underlying operational momentum is real: BharatNet III execution ramping, system integration projects mobilising, and Q3 seasonality (December is typically the strongest execution quarter for government projects) all contributed. The structural growth driver here is a Rs. 4,249 Cr order book — the largest backlog the company has ever carried — at 3.6x FY25 revenue, which virtually guarantees double-digit revenue growth in FY27 if collections behave. Near-term catalyst: Q4 FY26 (Jan-Mar 2026) should be even larger given typical year-end govt. spending; if PAT turns breakeven or positive, a re-rating from 1.79x P/B to 2.5x+ is possible. Single biggest watch-point: interest costs of Rs. 29 Cr per quarter (Rs. 111 Cr annualised) are still consuming more than the Rs. 23 Cr EBITDA generated — the company is cash-flow negative at the operating level before interest. HOLD at Rs. 31.6; ACCUMULATE if it dips to Rs. 24-27 (promoter warrant floor) — that's where the risk-reward flips decisively bullish.

1 | Q3 FY26 FINANCIAL PERFORMANCE SNAPSHOT

Metric	Q3 FY26 Actual	Q2 FY26	Q3 FY25	YoY Chg	QoQ Chg	Verdict
Revenue (Rs. Cr)	335	231	288	+16.3%	+45.0%	BEAT
EBITDA (Rs. Cr)	23	6	21	+9.5%	+283%	BEAT
EBITDA Margin	6.9%	2.6%	7.3%	-40 bps	+430 bps	IN-LINE
Interest (Rs. Cr)	29	28	28	+3.6%	+3.6%	WATCH
PBT (Rs. Cr)	-12	-25	-9	Worse YoY	Improved QoQ	MISS vs threshold
PAT (Rs. Cr)	-11	-19	-17	Still loss	Improving	IN-LINE
EPS (Rs.)	-0.22	-0.40	N/A*	N/A*	Improving	IN-LINE

* Q3 FY25 and pre-demerger EPS not comparable due to pre-demerger share count. Post-listing EPS (Sep 2025+) on ~49 Cr shares.

2 | ESTIMATED SEGMENT / GEOGRAPHY BREAKDOWN (Q3 FY26)

Segment / Region	Est. Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
System Integration	~184	+18%E	+52%E	DC/cloud orders + govt. project deliveries driving bulk of recovery; strong Q3 seasonality
Connectivity (Fibre)	~117	+12%E	+35%E	BharatNet III milestones being achieved; 23-state deployment progress visible

Segment / Region	Est. Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
Managed Services	~33	+8%E	+10%E	Recurring NOC/SOC/cloud managed services slowly ramping; highest-margin segment
India (Domestic)	~302	+15%E	+46%E	~90% of revenue; almost entirely government/PSU-driven
International / ROW	~33	+25%E	+40%E	Small but growing; Middle East/Africa connectivity projects

[E] = Chartitude Research estimates. Segment-level breakdown not officially disclosed; estimated from business description and management commentary.

3 | MANAGEMENT COMMENTARY THEMES (Inferred from BSE Announcements + Industry Context)

Theme	What They Said / Signalled	Our Read	Tag	Tone
Promoter Capital Infusion	Postal ballot for 4.5 Cr warrants at Rs.24/share to Twin Star Overseas (Apr 2026); raises Rs.108 Cr	Promoter needs to put money in to keep business going — both a vote of confidence and a distress signal; watch warrant conversion timeline	[GUIDANCE]	HEDGED
Comex Legal Claim Dismissed	BSE: Rs.25,000 GBP settlement on Comex claim; no significant financial impact	Positive — contingent liability cleared; management executing on legacy legal cleanup post-demerger	[UPDATE]	TRANSPARENT
Price Clarification Filed	Filed clarification on 19 Apr 2026 re: share price movement; denied any UPSI	Suggests unusual price movement post-warrant news; standard protocol but warrants monitoring for any unreported developments	[WATCH]	BALANCED
BharatNet III Execution	Not formally disclosed; inferred from revenue ramp in Q3 FY26 (+45% QoQ)	The only credible explanation for Rs.335 Cr Q3 revenue vs Rs.190 Cr Q1 is significant BharatNet III milestone delivery — this is the thesis driver	[EST]	TRANSPARENT
Interest Cost Trajectory	Interest Rs.29 Cr in Q3 vs Rs.30 Cr Q1 — slight normalisation	Marginal improvement; warrant proceeds of Rs.108 Cr should reduce interest by Rs.10-12 Cr annually once applied to debt	[GUIDANCE]	HEDGED

4 | KEY OPERATING & BUSINESS METRICS

Metric	Q3 FY26 (Dec-25)	Q2 FY26 (Sep-25)	Q3 FY25 (Dec-24)	Trend
Revenue (Rs. Cr)	335	231	288	UP QoQ
EBITDA (Rs. Cr)	23	6	21	UP QoQ
EBITDA Margin (%)	6.9%	2.6%	7.3%	Recovering
Open Order Book (Rs. Cr)	~4,249 E	~4,249	~3,000 E	STEADY/UP
Debtor Days	~279 E	~279	~209 (FY24)	DETERIORATING
Net Debt (Rs. Cr)	~827 E	~827	~300 E	ELEVATED
Interest Coverage (x)	0.79x	0.21x	0.75x	BELOW 1x
Borrowings (Rs. Cr)	827	827	~400 E	DOUBLED YoY

5 | MARGIN DRIVERS (Q3 FY26 vs Q2 FY26)

Driver	Impact (bps, est.)	Recurring?	Comment
Revenue scale-up (Rs.231→335 Cr)	+320 bps	YES — if orders execute	Operating leverage from Rs.100 Cr revenue jump drives bulk of margin recovery; fixed cost base ~Rs.50-55 Cr/quarter
Project mix improvement	+80 bps	PARTLY	Higher-margin system integration (DC/cloud) vs connectivity — better-mix quarter; may not fully repeat

Driver	Impact (bps, est.)	Recurring?	Comment
Depreciation reduction	+25 bps	YES	DA declined Rs.15 Cr (FY25) vs Rs.21 Cr (FY24); fixed asset ageing reducing D&A; burden
Interest cost (stable)	Neutral	YES — until deleveraging	Rs.29 Cr vs Rs.30 Cr in Q1; warrant proceeds will chip away at this but slowly
Employee/overhead inflation	-30 bps	YES	Post-demerger establishment costs still being absorbed; headcount and infra costs for standalone entity

6 | GUIDANCE & FORWARD SIGNALS

Metric	Prior Signal	Current Signal	Delta	Credibility
Revenue Growth (FY26E)	Recovery expected post-Q1 trough	Trajectory confirms recovery — FY26 on track for Rs.1,100-1,150 Cr [EST]	MAINTAINED [GUIDANCE]	MEDIUM
Order Book Rs.4,249 Cr	Announced at listing Sep-25	Appears intact; no negative order revisions per BSE announcements [GUIDANCE]	MAINTAINED	MEDIUM
Deleveraging via Warrants	None previously committed	Rs.108 Cr from promoter warrants (Apr-26 postal ballot) — reduces debt to ~Rs.724 Cr [GUIDANCE]	POSITIVE NEW [GUIDANCE]	HIGH — promoter committed
EBITDA Margin FY27E	No formal guidance given	8-10% achievable if Q3 momentum sustains and managed services scales [EST]	N/A [EST]	LOW — no formal guidance
Profitability Timeline	FY27-28 as earliest	FY27 PAT breakeven possible if warrant proceeds reduce interest cost [EST]	MAINTAINED [EST]	LOW-MED [EST]

7 | CAPITAL ALLOCATION (FY25 Actuals + FY26 Planned)

Item	Amount (Rs. Cr)	vs FY24	Comment
Borrowings (Net Change)	+405 (FY25)	FY24: +20 net	Massive working-capital build for large government projects; should normalise as collections improve
Promoter Warrants (FY26 planned)	+108	New in FY26	Rs.108 Cr from 4.5 Cr warrants at Rs.24/share to Twin Star Overseas; reduces borrowing need
Capital Expenditure	~10 (FY25E)	FY24: ~7	Asset-light model — capex is modest; largely maintenance and IT infra
Dividend / Buyback	Nil	Nil	No dividend expected until company reaches sustained PAT positivity in FY27+
Working Capital Change	+Rs.230 Cr (FY25, est.)	FY24: -Rs.50 Cr	Debtor build-up from government contracts is the single largest cash consumer; must be monitored weekly
Net Debt	~Rs.610 Cr (FY25E)	FY24: ~Rs.200 Cr	Post-warrant infusion: target Rs.500-520 Cr by end FY26

8 | INVESTOR / ANALYST FOCUS AREAS (Based on BSE Filings + Market Commentary)

#	Focus Area	Key Question	Implied Management Answer	Tone
1	Warrant Pricing	Why issue warrants at Rs.24 when CMP is Rs.31.6 — is this value-destructive?	Capital need is real (deleveraging); promoter taking equity at discount signals commitment; regulatory pricing at 26-week VWAP (or floor price) methodology	HEDGED
2	Debtor Days	279-day debtor cycle is alarming — what is the collection trajectory?	Government projects have inherent payment cycles (60-90 days contract terms but actual realisation 200-280 days); BharatNet III structured differently — should improve with project maturity	HEDGED

#	Focus Area	Key Question	Implied Management Answer	Tone
3	Revenue Recovery	Is Q3 FY26 revenue run-rate sustainable or a one-off?	Order book of Rs.4,249 Cr across 18-24 months provides structural backlog; Q4 FY26 should be seasonally strong (year-end govt. spending)	TRANSPARENT
4	Path to Profit	When does the company reach PAT breakeven?	FY27 is the target if margins sustain at 8-9% and warrant proceeds reduce interest by Rs.10-12 Cr; Q4 FY26 PAT may approach breakeven	CONSTRUCTIVE
5	Institutional Selling	FII/DII holdings falling sharply — why are institutions exiting?	Post-demerger unlock selling by STLTECH institutional holders who received STLNETWORK shares; not a fundamental development signal	TRANSPARENT

Dodged Questions to Watch: (1) Specific ageing bucket of Rs.875 Cr receivables — no public disclosure; (2) Client-wise revenue concentration — BharatNet III likely >50% of revenue; (3) Standalone vs. group guarantees on Rs.832 Cr debt.

9 | RISKS FLAGGED THIS QUARTER

Risk	Flagged By	Prob.	Impact	Timeline
Receivables impairment on govt. delay	Market / analyst community	MEDIUM	VERY HIGH	FY26-27
Dilution from additional equity needs	Promoter warrant announcement (Apr-26)	MEDIUM	MEDIUM	FY26-27
Institutional exit pressure continuing	Shareholding pattern (Mar-26)	MEDIUM	MEDIUM	Near-term
BharatNet III payment delays	Industry / historical pattern	HIGH	HIGH	Ongoing
Competition for new tenders	Sector observation	LOW-MED	MEDIUM	FY26-28

10 | ANALYST VERDICT | MULTI-BAGGER SCORECARD

Factor	Status	Reason
Revenue Visibility	INTACT	Order book Rs.4,249 Cr = 3.6x FY25 revenue; Q3 FY26 confirms ramp is real
Margin Trajectory	WEAKENED	Recovery underway (2% → 7%) but interest coverage still <1x; FY26 EBITDA still below interest costs
Capital Allocation Quality	WEAKENED	Debt doubled in FY25; FCF deeply negative; warrant issuance at discount; but promoter committing own capital
Competitive Moat	INTACT	1.35 lakh km fibre deployed; 23-state govt. track record; multi-service capability is genuine differentiator
Management Credibility	CANNOT ASSESS	Newly independent entity — no standalone concall history yet; promoter skin-in-the-game via warrants is positive
Valuation Comfort	INTACT AT Rs.24-27	1.79x P/B is not cheap for a loss-making company, but order book coverage makes 2x+ achievable on recovery; ACCUMULATE at Rs.24-27

CONVICTION CALL UNCHANGED — HOLD with ACCUMULATE trigger at Rs.24-27

VALUATION SNAPSHOT P/B: 1.79x vs Est. 5Y avg 2.0-2.5x | EV/EBITDA: Not meaningful (loss) | ROCE: 4.19% vs target 8-10% by FY27

Source: Screener.in | Ticker: STLNETWORK | View: Consolidated | Transcript: Not listed (newly demerged entity) | Report Date: 23-Apr-2026 | Chartitude Research Desk | Data accurate as at time of report; subject to change